

mist at Enam Securities: "RBI cannot do anything about credit risk. It's up to the government to come up with a fiscal package that encourages production and consumption."

In order to understand why the monetary policy actions are not yielding the desired impact, it's important to know the pulse of the problem. While Reddy was busy tackling inflation via policy action, which actually had more to do with supply constraints and global price movements, he sucked out liquidity and pushed up borrowing costs for both companies and individuals. Given that India's GDP is largely driven by domestic consumption, key sectors like auto, retail, real estate, construction and consumer goods fell prey to interest rate movements. By the time Subbarao came to the hot seat, the damage had been done as companies were facing tight liquidity conditions and very high borrowing costs.

Unlike China, which recently announced a \$586-billion package, RBI's CRR cuts over the last two months have released \$30 billion into our system. While it may have brought down call money rate from 17 per cent to 6 per cent, it has not translated into actual lending by banks. Over the last few years, repo and reverse repo rates have become benchmark rates that determine the cost of funds. While repo is the rate at which banks borrow from RBI, reverse repo is the rate that RBI gives to banks for parking their surplus funds. Even as Subbarao has cut repo rate from 9 per cent in September to 6.5 now, "this measure will not impact immediately as rates will start coming down over the next two to three quarters, so we will have to wait for second half of FY2009 for industry to revive," says Shukla.

While the monetary policy measures are yet to percolate down to firms, some direct measures too are unlikely to have a positive impact on specific sectors. In an environment where actual consumption is

Reddy Reckoner

■ Yaga Venugopal Reddy takes over as RBI governor in September 2003

■ Inflation below 4 per cent and GDP growth at 9 per cent

■ In October 2004, Reddy reverses trend of benign interest rate cycle by hiking the reverse repo rate by 25 bps to 4.75 per cent, but leaves bank rate untouched at 6 per cent

■ Prior to the policy review, hikes cash reserve ratio (CRR) by 50 bps in two stages to 5 per cent to check inflation; the hike sucks Rs 8,750 crore out of the system

■ The US Federal Reserve hikes its base rate from 1 per cent in June 2004 to 2.75 per cent now through seven hikes

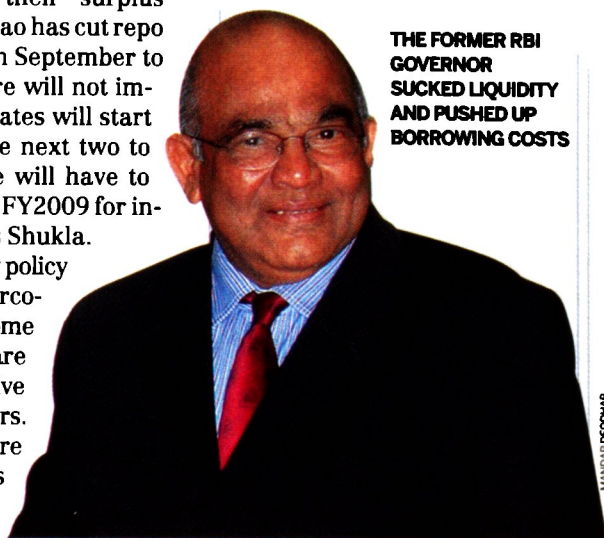
■ In the last five months of his tenure, raises the bank rate by 125 bps and CRR (the money that banks need to keep with RBI) by 150 bps in phases to rein in inflation.

■ On July 29, 2008, increases repo rate by 50 bps to 9 per cent, hikes CRR by 25 bps to 9 per cent on August 30, 2008.

not increasing, export-oriented countries have to become more competitive. China has done that by raising the duty drawback rate from 9 per cent to 14 per cent. It is the rate at which exporters can claim refunds from the government via various credits. However, for Indian exporters the average drawback rate on 3,900 items is 6 per cent. Says Ajay Sahai, director-general of Federation of Indian Export Organisations: "If the Government has to kickstart exports it has to increase the drawback and Duty Entitlement Pass Book (DEPB) rates. The sector has to be given tax exemptions in the short term. CRR and repo rate cuts have not led to a lower prime lending rate so interest subvention of 4 per cent instead of the present 2 per cent will benefit exports."

Given that the demand for finished products in the West has also slackened, overseas buyers are asking for a 270-365 days of export credit, while Indian exporters only get 180 days. The increased tenure for pre-shipment credit from 180 days to 270 days and post-shipment credit tenure to 180 days from the earlier 90 days is not enough, says Sahai. So, can RBI do any more to kickstart the economy? Not really, say experts. According to Sukumar Rajah, CIO (Equity) Franklin Templeton Investments: "Overall, these measures have helped in easing liquidity pressures and providing succour to some segments of the economy that were impacted by the credit squeeze. But it could take some time before the lower rates percolate across the economy." At best, RBI can look at bringing down reverse repo to below 5 per cent levels, but clearly its role is pretty much over.

The Government has unveiled a stimulus package but it falls short of expectations and needs. If growth has to bounce back, a slew of fiscal measures are needed to create room for investment and spending. But like every cloud has a silver lining, companies can look for some positives in this watershed year too. Even as private consumption is slackening, corporate India can train its guns on the 10 million government employees, who will be left with much more money to spend this year-end thanks to the Pay Commission. ■



THE FORMER RBI GOVERNOR SUCKED LIQUIDITY AND PUSHED UP BORROWING COSTS

MANJARE DEODHAR